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Case Name: *In re Hewlett Packard Enterprise Co. Shareholder Litigation*

Case No.: 19CV353132

This consolidated class action arises from alleged misrepresentations and omissions in the offering materials issued in connection with an April 2017 transaction for Defendant Hewlett Packard Enterprise Company (“HPE”). The transaction occurred when HPE’s Enterprise Services business segment was spun off and merged with Computer Sciences Corporation, Inc. (“CSC”) to form Defendant DXC Technology Company (“DXC”) (the “Merger”).

Before the Court is (1) Plaintiffs’ motion for final approval of class action settlement; and (2) Plaintiffs’ motion for attorneys’ fees and costs, which are both unopposed. As discussed below, the Court GRANTS the motions.

I. BACKGROUND

In the operative SAC, Plaintiffs allege that the Offering Materials misrepresented the nature, extent, and severity of the incoming management team’s touted \$1 billion “workforce optimization” plan, characterizing it as targeting “duplicative” employees to “optimize” the Company’s workforce, “improve execution in sales performance, enhance . . . [the Company’s] ability to provide value to its customers through a broader range of resources and expertise,” “retain” workers “with the skills necessary to serve their customers,” and thereby achieve billions in “synergies” and increased goodwill. (SAC, ¶ 4.) But rather than “cutting \$1 billion worth of duplicative employees, Defendants planned a \$2.7 billion mass layoff of DXC’s older, most essential and experienced employees, offloading their higher salaries to inflate reported earnings ahead of tens of millions of dollars in insider sales.” (*Id.*, ¶ 5.) “[O]ver the months and years following the Merger, the consequences of the undisclosed mass layoff plan were predictable: an impaired workforce without the experience, know-how, capabilities, and customer relationships necessary to effectively service, maintain and develop DXC’s business.” (*Id.*, ¶ 6.) This ultimately resulted in an over 50 percent decline in the value of DXC shares from the time of the Merger. (*Id.*, ¶ 17.)

In an effort to cure the deficiencies identified in the FAC, Plaintiffs allege that “[a]s former DXC employees would later admit, the actual plan and its undisclosed nature and severe risks were discussed among Company executives before the Merger. Ahead of the Merger, particular senior (i.e., over-40) employees had already been marked for termination, and Defendants had already retained a consulting firm to begin executing the planned mass layoff of older, higher paid employees immediately after the Merger. Indeed, within days of the Merger close, Defendants began disproportionately terminating older, more experienced (but in truth essential) employees *en masse*.” (SAC, ¶ 9.)

A. Age-Targeted Layoffs at CSC/HPE

Plaintiffs allege that the age-targeted layoff plan for DXC was a continuation of the approach of both CSC and HPE prior to the merger. The Equal Employment Opportunity Commission filed a lawsuit against CSC in December 2020 alleging that between 2012 and

2014, CSC—under its CEO, Defendant Michael Lawrie—engaged in a nation-wide pattern or practice of discharging employees aged 40 and over because of their age. (SAC, ¶ 33.) The lawsuit resulted in a \$700,000 settlement and a two-year consent decree requiring DXC, as CSC’s parent company, to review and revise layoff procedures to ensure compliance with federal laws protecting older workers. (*Id.*, ¶ 34.) But according to Plaintiffs, “[i]t is clear that Defendant Lawrie brought this same ageist, cost-cutting strategy to the Merger in 2017.” (*Ibid.*)

Similarly, Defendant Margaret C. Whitman, the CEO of HPE, “was also personally involved in developing the discriminatory age- and quota-driven mass layoff plans implemented at both HPE and DXC. Across an array of analyst calls and public interviews, Defendant Whitman candidly admitted this objective when discussing the need to change the company’s ‘labor diamond’ into a ‘labor pyramid’ or a ‘quite flat triangle’ with large numbers of young people at its base.” (SAC, ¶ 43; see also *id.*, ¶¶ 44–46.) “Defendant Whitman’s candid admissions have formed the basis of numerous discrimination lawsuits against HPE and DXC before and since the Merger.” (*Id.*, ¶ 47.)

Plaintiffs allege that several HPE or DXC employees over the age of 40 have filed age discrimination lawsuits arising from their termination following the Merger, several of whom claim younger employees in their groups were not targeted or that their position was filled by a younger employee rather than eliminated. (SAC, ¶ 73(a)–(j).) Plaintiffs also include similar allegations about age discrimination lawsuits filed by HPE or CSC employees terminated *before* the Merger. (See *id.*, ¶ 73(k)–(p), ¶ 74.) And they state that the complaint in a class action lawsuit against HPE, *Forsyth, et al. v. HP Inc., et al.* (ND. Cal., Civil Case No. 16-cv-04775-EJD), alleges that “the number of employees over 40 years old who were terminated pursuant to a workforce reduction plan from November 2015 to the present, ranges in the hundreds or thousands for California alone.” (*Id.*, ¶ 75.) “A preliminary statistical analysis of workforce reduction forms provided to HPE employees shows that older employees were significantly more likely to be terminated than younger employees....” (*Id.*, ¶ 76.)

Plaintiffs further allege “by these and other former DXC employees - across an array of age discrimination, employment class action, and other lawsuits filed in the wake of the Merger - DXC’s workforce reduction plan was in truth a scheme to terminate older, more experienced, higher paid employees in favor of younger, less experienced, and thus lower paid employees, all to dramatically cut salaries and other overhead and expenses in the short term regardless of the foreseeably severe and negative impact on operations and revenue going forward.” (SAC, ¶ 77.)

B. DXC’s Layoff and Hiring Policies and Practices

Plaintiffs allege “DXC couched the layoffs as occurring on an ostensibly ‘rolling basis’ as purportedly laying off employees on a neutral basis. But, in truth, the companywide plan specifically and disproportionately targeted for termination DXC employees who were 40 years of age or older, not only a protected class under federal law, but also the employees with the experience and customer relationships necessary to service existing clients and business.” (SAC, ¶ 78.) “HPE and DXC used uniform, near-verbatim paperwork when terminating older employees, who all received the same vaguely worded, boilerplate reasons for being terminated, regardless of which entity they worked for after the Merger.” (*Id.*, ¶ 79.) “Upon termination, many positions were temporarily eliminated. But even when a terminated

employee's specific job title or position was not eliminated, those positions were staffed with new, younger hires at both entities.” (*Ibid.*)

Internal DXC documentation reflects that “DXC placed an emphasis on retaining and attracting as many ‘millennial’ generation employees while terminating or retiring employees from the older generations.” (SAC, ¶ 80.)

When carrying out the undisclosed mass layoff plan, senior management at DXC provided managers throughout the country with two simultaneous orders: (1) terminate a specific number of employees, called “slates,” pursuant to the layoff plan; and (2) hire a specific number of requisitions (“reqs”) to replace them, focusing on new, younger hires. The issuance of these “slates” and “reqs” followed a distinct pattern: an upper-level manager would order a subordinate manager to lay off a designated number of experienced, older, tenured “LT” (meaning “long-term” or “longtailed”) employees, while simultaneously providing that manager a similar number of new “reqs” authorizing the hiring of recent “graduate” or “early career” employees to replace those just fired. (SAC, ¶ 81; see also *id.*, ¶¶ 93–96 [describing DXC’s policies concerning “graduate”/“early career” hiring].)

[T]he employees selected to be terminated pursuant to the plan are initially and nominally recommended by managerial employees to DXC’s human resource department. The selections are then evaluated by a human resources generalist to assure the selection is the “right fit” for termination, meaning the selection conforms with Defendants’ explicit (yet undisclosed) directive to terminate older, more expensive employees while retaining younger, cheaper employees. These selections are not based on merit, performance, “optimization” for operational effectiveness, or redundancy. Rather, the selections are age- and quota-based, such that as long as the selected employee is old enough (over 40), then the human resource department approves the selection and notifies the Workforce Management Team to prepare the proper paperwork to be delivered to the selected employee by his or her manager(s). Conversely, if the selection happens to be too young (i.e., under 40), then the manager or managers are directed to select another employee. (SAC, ¶ 82.)

“In the wake of the Merger, of all employees terminated by DXC, the rate of employees terminated who were age-protected (i.e., age 40 or older) often exceeded 85%.” (*Id.*, ¶ 83.) “HPE and DXC also implemented bans on hiring employees who were terminated pursuant to any layoff implemented by an HP-related entity. In other words, DXC effectively ‘blacklisted’ employees who were terminated under a mass layoff plan of any HP-related company.” (*Id.*, ¶ 86.) “This blacklisting policy was implemented even though both HPE and DXC claimed to have a ‘60 Day Preferential Rehire Period’ during which those terminated under the layoff plan were encouraged to apply for new positions within either HPE or DXC (both before and after the name change and spin-off).” (*Ibid.*) These employees were told they would receive preferential hiring status for 60 days following their termination, but for older employees this was “a farce” in practice. (*Ibid.*) Both DXC and HPE also implemented nearly the same

phased retirement program and similar retirement policies to strongly encourage older employees to leave the company. (*Id.*, ¶¶ 88–89.)

C. Pre-Merger Plans

In the SAC, Plaintiffs allege the age-targeted layoffs were a continuation of both CSC and HPE’s prior practices and their evidence that the age-targeted layoff plan pre-dated the Merger is essentially unchanged from the FAC. According to Plaintiffs, “[t]hat the plan for mass layoffs targeting experienced employees was in place well before the Merger is demonstrated by, *inter alia*, how quickly after the Merger those layoffs went into effect.” (SAC, ¶ 111.) Older, essential employees began to be laid off immediately after the Merger, and decisions about who to lay off had been made before the Merger closed. (*Id.*, ¶ 113.) A management consulting firm was retained by the Company to assist with its layoff plans, and its representatives were deployed immediately after the Merger. (*Ibid.*) For example, at McKinsey & Co.’s suggestion, DXC eliminated numerous senior-level employees in Global Delivery with client-specific specialized skills formed during long-term relationships with DXC customers. (*Id.*, ¶ 114.) The termination of these employees was based on age and cutting salaries, not merit or redundancy, and thus predictably resulted in significant customer complaints and loss. (*Ibid.*)

Plaintiffs’ claims are brought under: (1) Section 11 of the Securities Act of 1933 (against all Defendants); (2) section 12(a)(2) of the Act (against all Defendants); and (3) section 15 of the Act (against all Defendants). On August 8, 2022, the Court (Hon. Kulkarni) issued its order, which sustained Defendants demurrer to Plaintiffs first amended complaint with leave to amend. On January 23, 2023, the Court (Hon. Kulkarni) issued its order, which overruled Defendants’ demurrer to the operative SAC.

On May 2, 2024, the Court issued its order, which granted Plaintiffs’ motion for class certification. On June 24, 2025, the Court issued its order, which granted the motion for judgment on the pleadings, in part and denied it, in part. On December 15, 2025, the Court (Hon. Adams) issued its order, which granted Plaintiffs’ motion for preliminary approval of class action settlement.

Now Plaintiffs seek an order finally approving the class action settlement and approving the Plan of Allocation of settlement proceeds.

II. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba*, *supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba*, *supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that "the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation." (*Kullar*, *supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be "provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise." (*Id.* at pp. 130, 133.)

C. Terms and Administration of Settlement

The non-reversionary gross settlement amount is \$47,500,000. The net settlement amount will be the gross settlement amount minus the cost of: the notice; all costs associated with the administration of the settlement; taxes and tax expenses; attorneys' fees (which will not exceed one-third of the gross settlement amount) and expenses of up to \$1,200,000; and any service awards for Plaintiffs. The net settlement amount will be allocated to members of the "Class," which is defined as "all Persons who acquired DXC common stock in direct exchange for CSC securities in the April 1, 2017 Merger Exchange."¹ The funds will be distributed in accordance with the Plan of Allocation, which will equitably distribute the net settlement fund among Class Members based on a recognized loss formula calculated for each share of DXC common stock acquired in the April 1, 2017 Merger Exchange.² Class Members had until April 6, 2026, to submit a "Proof of Claim" form, which allowed the settlement administrator, Verita Global, LLC ("Verita") to determine the validity of the claims. If there is any balance remaining in the net settlement fund after a reasonable period of time from the date of distribution, Lead Counsel will consult with Verita. If it is economically feasible to do

¹ Defendants and their families; the officers, directors, and affiliates of Defendants, at all relevant times; members of Defendants' immediate families and their legal representatives, heirs, successors, or assigns; and any entity in which Defendants have or had a controlling interest are all excluded from the Class.

² This calculation is not intended to estimate the amount a Class Member might have been able to recover after trial, but rather it is a basis upon which to proportionately allocate that net settlement fund among authorized claimants.

so, the balance will be reallocated among Class Members until Lead Counsel determines it is not economically reasonable to do so. Any balance remaining after that will be transmitted to the Council of Institutional Investors.

In exchange for settlement, Class Members who do not opt out will release:

[A]ny and all claims, demands, losses, rights, liability, and causes of action of every nature and description whatsoever, asserted or unasserted, including Unknown Claims as defined below, whether arising under federal, state, local, common, statutory, administrative, or foreign law, or any other law, rule, or regulation, at law or in equity, whether fixed or contingent, whether foreseen or unforeseen, whether accrued or unaccrued, whether liquidated or unliquidated, whether matured or unmatured, whether direct, representative, class, or individual in nature, that either were or could have been asserted in this Action, or could be in the future asserted in any forum, arising out of, relating to, or in connection with (a) the acquisition of DXC common stock in the April 1, 2017 Merger Exchange, and (b) the allegations, acts, facts, transactions, events, matters, occurrences, disclosures, filings, representations, or omission that were or could have been involved, set forth, alleged, or referred to by Plaintiffs and all other members of the Class in this Action.

The notice period has now been completed. Ross Murray (“Murray”), a Vice President with Verita submitted a declaration in support of the motion. On January 5, 2026, Verita sent the Claim Package to 10,842 potential Class Members; to 256 brokerages, custodial banks, and other institutions that hold securities in “street name” as nominees for the benefit of their customers who are the beneficial owners of the securities; to the United States Securities and Exchange Commission’s (“SEC”) list of active brokers and dealers at the time of mailing; and 333 registered electronic filers who are qualified to submit electronic claims. Verita also caused copies of the claim package to be published by the Depository Trust Company (“DTC”) on the DTC Legal Notice System. The Summary Notice was also transmitted over *Business Wire* and published in *The Wall Street Journal* on January 15, 2026.

Verita received 12 responses from the outreach efforts which included files with 1,720 names and addresses, and 164 email addresses. 21 institutions requested 60,040 claims packages for forwarding directly to their clients. It has mailed 143 claims packages for which new addresses were identified. It has received 8 requests for claims packages from potential Class Members. As of May 6, 2026, Verita has sent a total of 77,919 claims packages to potential class members and nominees. One institution reported that it anticipated sending 7,044 claims packages to potential Class Members.

The deadline to submit a proof of claim was April 6, 2026, and as of the date of Murray’s declaration, Verita received 89,321 claims. 15 investors requested exclusion from the Class.³ The deadline to respond was May 21, 2026, and as of the date of Murray’s supplemental declaration (June 2, 2026), Verita has received 0 objections and 0 requests for exclusion.

³ The request for exclusion was received in response to the class certification notice.

At the preliminary approval, the Court found that the Plan of Allocation to be acceptable and that the proposed settlement provides a fair and reasonable compromise to Plaintiffs' claims. It finds no reason to depart from these findings now, especially considering that there are no objections. Therefore, the Court finds that the Settlement is fair and reasonable for the purposes of final approval.

III. MOTION FOR ATTORNEYS' FEES, COSTS, AND PLAINTIFFS' SERVICE AWARD

Lead Counsel seeks a fee award of \$15,833,333.33 or one-third of the gross settlement amount, which is not an uncommon contingency fee in a wage and hour class action. Lead Counsel provides a lodestar figure of \$25,819,788 based on 32,621 hours of work at billing rates ranging from \$250 to \$1,400, resulting in a negative multiplier of 0.613. This is well below the range of multipliers that courts typically approve. (See *Wershba, supra*, 91 Cal.App.4th at p. 255 ["[m]ultipliers can range from 2 to 4 or even higher"]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases and citing the court's own survey of large settlements funding a range of 0.6-19.6, with most (20 to 24, or 83%) from 1.0-4.0 and a bare majority (13 of 24, or 54%) in the 1.5-3.0 range"].)

"While the percentage method has been generally approved in common fund cases, courts have sought to ensure the percentage fee is reasonable by refining the choice of a percentage or by checking the percentage result against the lodestar-multiplier calculation." (*Laffitte v. Robert Half Intern, Inc.* (2016) 1 Cal.5th 480, 495 (*Laffitte*).) Applying the latter approach,

[T]he percentage-based fee will typically be larger than the lodestar based fee. Assuming that one expects rough parity between the results of the percentage method and the lodestar method, the difference between the two computed fees will be attributable solely to a multiplier that has yet to be applied. Stated another way, the ratio of the percentage-based fee to the lodestar-based fee implies a multiplier, and that implied multiplier can be evaluated for reasonableness. If the implied multiplier is reasonable, then the cross-check confirms the reasonableness of the percentage-based fee; if the implied multiplier is unreasonable, the court should revisit its assumptions. (*Laffitte, supra*, 1 Cal.5th at p. 496, quoting Walker & Horwich, *The Ethical Imperative of a Lodestar Cross-check: Judicial Misgivings About "Reasonable Percentage" Fees in Common Fund Cases* (2005) 18 Geo. J. Legal Ethics 1453, 1463.) As described by the California Supreme Court, "[i]f the multiplier calculated by means of a lodestar crosscheck is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Laffitte, supra*, 1 Cal.5th at 505.)

Here, the multiplier sought by Lead Counsel is well below what is typically awarded by California courts and it is supported by the percentage cross-check and Lead Counsel's declarations. Thus, the Court finds Lead Counsel's requested fee award is reasonable.

Lead Counsel also seeks \$957,641.18 in litigation costs, which is below the \$1,200,000 allowed for in the Settlement. The request is supported by Lead Counsel's declaration. This amount is reasonable and thus, it is approved.

Plaintiffs McLees and Pension Plan each request a Class Representative service payment of \$15,000.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These "incentive awards" to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit. (*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

Plaintiff McLees states he spent approximately 50 hours on this litigation, which includes communicating with his attorneys; gathering documents and information; participating in discovery; preparing and sitting for his deposition; and reviewing documents. (McLees Declaration in Support of Plaintiff's Motion for Preliminary Approval ("McLees Decl."), ¶ 4.) He further states that he considered the personal and financial risk of participating in this action. (McLees Decl., ¶ 5.)

Dwight Mattingly submitted a declaration in support of Pension Plan's request. He states that as Chairman of Palm Tran, he spent significant time communicating with his lawyers about the facts and the law related to this case, including the requirements associated with Palm Tran's service as a named plaintiff and Class Representative. (Mattingly Declaration in support of Plaintiffs' Motion for Preliminary Approval ("Mattingly Decl."), ¶ 2.) He participated in this action at every stage, which included reviewing drafts of court filings; assisting counsel with discovery responses; and providing input on important decisions. (Mattingly Decl., ¶¶ 3-4.) He states he spent approximately 40 hours on the instant action.

The Court finds Plaintiffs are entitled to a service award and the amounts requested are reasonable. Accordingly, Plaintiffs' request for their respective service award is granted.

IV. CONCLUSION

In accordance with the above, IT IS HEREBY ORDERED, ADJUDGED, AND DECREED THAT:

Plaintiffs' motion for final approval is GRANTED.

Judgment will be entered through the filing of this order and judgment. (Code Civ. Proc., § 668.5.) Plaintiff and the members of the Class will take from the operative complaint only the relief set forth in the settlement agreement and this order and judgment. Pursuant to Rule 3.769(h) of the California Rules of Court, the Court will retain jurisdiction over the parties to enforce the terms of the settlement agreement and the final order and judgment.

The Court sets a compliance hearing for **May 6, 2027 at 2:30 P.M.** in Department 22. At least ten court days before the hearing, class counsel and the settlement administrator shall submit a summary accounting of the net settlement fund identifying distributions made as ordered herein; the number and value of any uncashed checks; amounts remitted pursuant to Code of Civil Procedure section 384, subdivision (b); the status of any unresolved issues; and any other matters appropriate to bring to the Court's attention. Counsel shall also submit an amended judgment as described in Code of Civil Procedure section 384, subdivision (b). Counsel may appear at the compliance hearing remotely.

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Case Name: *Johnson v. SCK Ilara Investors, LLC*

Case No.: 21CV375255

This is a class action arising from defendant SCK Investors, LLC's alleged violation of Civil Code section 1950.5.

Before the Court is Plaintiff's motion for preliminary approval of settlement, which is unopposed. As discussed below, the Court GRANTS the motion.

V. BACKGROUND

According to the allegations of the Complaint, Defendant overcharged tenants' security deposits when their tenancies were terminated. (Complaint, ¶ 4.) Defendant employed this policy as its regular course of business. (Complaint, ¶¶ 4, 6, 9.)

Based on the foregoing, Plaintiff Priscilla Johnson initiated this action on January 18, 2021, with filing of the Complaint, which asserts the following causes of action: (1) violation of Civil Code section 1950.5; (2) negligent hiring/supervising/retention of employees; and (3) unfair business practices.

Plaintiff now moves for an order: preliminarily approving the class action settlement (the "Settlement"); and scheduling the final approval hearing.

VI. LEGAL STANDARD FOR SETTLEMENT APPROVAL

B. Class Action

Generally, "questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing

and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that “the consideration being received for the release of the class members’ claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation.” (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be “provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise.” (*Id.* at pp. 130, 133.)

VII. SETTLEMENT PROCESS

On January 18, 2021, Plaintiff initiated the instant action. Defendant denied liability and asserted affirmative defenses. The parties engaged in formal discovery including requests for production and interrogatories. Plaintiff reviewed Defendant’s discovery responses and documents, which included rental agreements, rent ledgers, security deposit itemizations. Based on the foregoing, Plaintiff’s counsel created a damage model for the class based on the documents.

On January 17, 2024, the Court issued its order which granted Plaintiff’s motion for class certification; appointed Plaintiff as the Class Representative; and appointed Plaintiff’s counsel as Class Counsel.

VIII. SETTLEMENT PROVISIONS

The non-reversionary gross settlement amount is \$300,000. Attorneys’ fees of up to 33% the gross settlement amount (\$99,000), litigation costs of up to \$20,000, and settlement administration costs of up to \$12,000.⁴ Plaintiff will seek a Class Representative award of up to \$15,000.

The net settlement amount will be allocated to Class Members who are defined as “all former tenants at the Premises who paid security deposits and to whom Defendants did not return more than \$125 of the security deposits within 21 days of the vacation of the apartment.” Funds associated with checks uncashed after 180 days will be transmitted to Bay Area Legal Aid.

In exchange for settlement, Class Members who do not opt out will release:

[A]ny and all actions, causes of action, claims, demands, rights, injuries, debts, obligations, liabilities, contracts, duties, damages, costs, attorneys’ fees, expenses or losses of every kind, nature, character, or description whatsoever, arising from the claims alleged in the Action.

⁴ If redistribution is necessary, the settlement administration costs will increase by \$2,972.96.

The foregoing release is appropriately tailored to the allegations at issue.
(See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537.)

IX. FAIRNESS OF SETTLEMENT

Based on available data provided by Class Counsel calculated the full potential value of the claims to be approximately \$279,000. The gross settlement amount represents 107% of the estimated maximum exposure, which is well above the range of recoveries typically approved by California courts. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S. Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].)

Considering the multiple, dependent contingencies that Plaintiff would have had to overcome to prevail on the claims, the Settlement achieves a good result for the Class. For purposes of preliminary approval, the Court finds that the settlement is fair and reasonable to the Class.

X. NOTICE

The content of a class notice is subject to court approval. (Cal. Rules of Court, rule 3.769(f).) “The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (*Ibid.*) In determining the manner of the notice, the court must consider: “(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Here, the notice, which will be provided in English, informs the Class Members of the nature of the lawsuit and their rights under the terms of the Settlement and applicable law. It includes: a detailed explanation of the case, including the basic contentions or denials of the Parties and the basic terms of the Settlement; a statement that the court will exclude the member from the Settlement if they request so by a specified date; a procedure for the member to follow in requesting exclusions from the Settlement; an explanation that members of the Class can participate in the Settlement by doing nothing; a statement that the judgment, whether favorable or not, will bind all members who do not request exclusion; and a statement that any member who does not request exclusion may, if the member so desires, enter an appearance through counsel. Class Members are given 60 days to exclude themselves or object. The form of notice is adequate.

Regarding appearances at the final fairness hearing, the notice shall be modified to instruct class members as follows:

Although class members may appear in person, the judge overseeing this case encourages remote appearances. Class members who wish to appear remotely should contact class counsel at least three days before the hearing if possible. Remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to <https://santaclara.courts.ca.gov/online-services/remote->

hearings to find the appropriate link. Also, please note that that you must register in advance to appear remotely..

Turning to the notice procedure, as articulated above, the parties have selected Simpluris, Inc. (“Simpluris”) as the Settlement administrator. No later than 14 days after preliminary approval, Defendant will deliver the Class data (i.e., Class list and related qualifying workweeks and contact information) to Simpluris. Simpluris, in turn, will mail the notice packets within 14 days of receiving the Class data. Any returned notices will be re-mailed to any forwarding address provided. If no forwarding address is found, Simpluris shall conduct an investigation for one and if one is found, Simpluris shall re-mail the notice within 7 days. These notice procedures are appropriate and are approved.

XI. SERVICE AWARD, FEES, AND COSTS

Plaintiff requests an enhancement payment of \$15,000.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation.

These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted; see also *Covillo v. Specialty’s Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29 [incentive awards are particularly appropriate where a plaintiff undertakes a significant “reputational risk” in bringing an action against an employer].)

Prior to final approval, Plaintiff shall submit her declaration detailing her efforts in this matter and any other factors she would like the Court to consider.

The request for administrative costs in the amount of \$12,000 is supported by the declaration of Andrew Wolff. Thus, it is approved.

The Court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Class Counsel will seek attorneys’ fees of up to one-third of the gross settlement amount (currently estimated to be \$99,000), and litigation costs for up to \$20,000. Prior to any final approval hearing, Class Counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred.

XII. CONCLUSION

Plaintiff's motion for preliminary approval is GRANTED.

The final approval hearing shall take place on **December 10, 2026** at 1:30 in Department 22.

The Court will prepare the order.

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Calendar Line 4

Case Name: *Suchite v. HE&C Tea Pot Inc.*

Case No.: 24CV443643

This is a representative action under the Private Attorneys General Act (“PAGA”). Plaintiff Dori Suchite alleges defendants HE&C Tea Pot Inc., TEA & FOODBY HE&C INC, and Fang Zhang (collectively, “Defendants”) committed various wage and hour violations.

Before the Court is Plaintiff’s motion for leave to file a second amended complaint (“SAC”), which is unopposed. As discussed below, the Court GRANTS Plaintiff’s motion.

I. Background

According to the allegations of the operative First Amended Complaint (“FAC”), Defendants misclassified employees and they failed to: provide compliant meal periods or compensation in lieu thereof; provide compliant rest breaks or compensation in lieu thereof; pay overtime wages; pay minimum wages; timely pay wages during employment; pay all wages due to discharged and quitting employees; furnish accurate itemized wage statements; maintain required records; and indemnify employees for necessary expenditures.

Based on the foregoing, Plaintiff initiated this action on July 23, 2024, with the filing of the Complaint and on March 14, 2025, Plaintiff filed the operative FAC, which asserts a violation of PAGA based on the aforementioned conduct.

II. MOTION FOR LEAVE TO AMEND

Plaintiff moves for leave to file her SAC.

A. Legal Standard

Code of Civil Procedure sections 473, subdivision (a), and 576 provide that the court “may, in the furtherance of justice,” allow a party to amend any pleading. “It is well established that ‘California courts have “a policy of great liberality in allowing amendments at any stage of the proceeding so as to dispose of cases upon their substantial merits where the authorization does not prejudice the substantial rights of others.” Indeed, “it is a rare case in which ‘a court will be justified in refusing a party leave to amend his [or her] pleading so that he [or she] may properly present his [or her] case.’ ” Thus, absent a showing of prejudice to the adverse party, the rule of great liberality in allowing amendment of pleadings will prevail.” (*Board of Trustees v. Superior Court* (2007) 149 Cal.App.4th 1154, 1163 [internal citations omitted].)

“Leave to amend a complaint is thus entrusted to the sound discretion of the trial court. . . .” (*Branick v. Downey Savings & Loan Assn.* (2006) 39 Cal.4th 235, 242 [internal citations omitted].) “[I]t is an abuse of discretion to deny leave to amend where the opposing party was not misled or prejudiced by the amendment.” (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048, (*Kittredge*)). The court does not abuse its discretion by denying leave to amend where the facts stated do not constitute a cause of action. (See *IIG Wireless, Inc. v. Yi* (2018) 22 Cal.App.5th 630, 654.)

A motion to amend filed before trial must (1) include a copy of the proposed amended pleading, (2) state what allegations in the previous pleading are proposed to be deleted, and (3) state what allegations are proposed to be added to the previous pleading. (Cal. Rules of Ct., rule 3.1324(a).) The motion must also include a separate declaration that explains “(1) The effect of the amendment; (2) Why the amendment is necessary and proper; (3) When the facts giving rise to the amended allegations were discovered; and (4) The reasons why the request for amendment was not made earlier.” (Cal. Rules of Ct., rule 3.1324(b).)

B. Discussion

Defendants failed to response to Plaintiff’s Complaint and FAC. Thus, Plaintiff intends to proceed with the instant matter on a default basis. (Motion, p. 5:7-9.) Accordingly, she moves for leave to file her SAC to assert the violations in separate causes of action as follows: (1) willful misclassification; (2) failure to provide meal periods; (3) failure to provide rest periods; (4) failure to pay overtime wages; (5) failure to pay minimum wages; (6) failure to pay all wage due to discharged and quitting employees; (7) failure to furnish accurate itemized wage statements; (8) failure to maintain required records; (9) failure to reimburse employees for necessary business expenses; and (10) PAGA penalties. The proposed SAC does not allege any new Labor Code violations, thus, it simply seeks to expand Plaintiff’s relief and stem from Defendant’s failure to comply with the Labor Code. (Motion, p. 7:1-7.) Thus, Plaintiff’s contends permitting amendment will not prejudice Defendants.

Here, Plaintiff’s request is procedurally proper and accompanied by the required declarations and facts. (See Cal. Rules of Ct., rule 3.1324(a) & (b).) Moreover, the Court agrees that Defendants will not be prejudice by allowing Plaintiff to file the SAC as the claims will be based on the same violations asserted in the Complaint and FAC. Thus, the Courts finds that permitting amendment is proper.

Based on the foregoing, Plaintiff’s motion for leave to amend is GRANTED.

III. CONCLUSION

Plaintiff’s motion for leave to amend is GRANTED. Plaintiff’s SAC is deemed filed and it must be served within 10 days of this order.

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Calendar Line 5-20

Case Name: *Carolyn McKinney, et al. v. Apple Inc.*

Case No.: 25CV464854

These actions arise from defendant Apple Inc.’s (“Apple” or “Defendant”) alleged intentional interception and recording of communications without consent.

Before the Court is Defendant’s omnibus demurrers to the operative complaints in the following cases, which are opposed:

- (1) *Carolyn McKinney, et al. v. Apple Inc.* (25CV464854) (*McKinney*);
- (2) *Cesar Nicolas Avigliano, et al. v. Apple Inc.* (25CV564406) (*Avigliano*);
- (3) *Thomas Henry Kozik, et al. v. Apple Inc.* (25CV465597) (*Kozik*);
- (4) *Zovik Serengulian, et al. v. Apple Inc.* (25CV466084) (*Serengulian*);
- (5) *Kristin Sue Elbert et al. v. Apple Inc.* (25CV466507) (*Elbert*);
- (6) *Adriana Scott, et al. v. Apple Inc.* (25CV466612) (*Scott*);
- (7) *Patrick Casey, et al. v. Apple Inc.* (25CV466683) (*Casey*);
- (8) *Kimberly Lynn Maldonado, et al. v. Apple Inc.* (25CV46721) (*Maldonado*);
- (9) *Elijah Padgett, et al. v. Apple Inc.* (25CV467837) (*Padgett*);
Peter Khanbegian, et al. v. Apple Inc. (25CV467986) (*Khanbegian*);
- (10) *Nick A. Speights, et al. v. Apple Inc.* (25CV468145) (*Speights*);
- (11) *Sergeo R. Perez, et al. v. Apple Inc.* (25CV468430) (*Perez*);
- (12) *Max Nicholas Ulrich, et al. v. Apple Inc.* (25CV469657) (*Ulrich*);
- (13) *Linette Yvonne Frausto, et al. v. Apple Inc.* (25CV469662) (*Frausto*);
- (14) *Kerrie Lynn Sterner, et al. v. Apple Inc.* (25CV469673) (*Sterner*); and
- (15) *Kenneth Rene Mendoza, et al. v. Apple Inc.* (25CV471234) (*Mendoza*).

As discussed below, Apple’s demurrers are OVERRULED.

I. BACKGROUND

According to the allegations in the operative Complaint in *McKinney*, in 2011 Apple integrated its digital assistant Siri into its devices beginning with the iPhone 4s.⁵ (Complaint, ¶¶ 2, 25-26.) By 2019, Siri was a standard feature on subsequent generations of Apple devices. (*Ibid.*) Initially, Siri could only be activated by manually pressing and holding a button on the device, however, in 2014, Apple released a feature which allows users to activate it by saying “Hey, Siri” (the “Trigger Words”). (Complaint, ¶¶ 3, 29.)

Users found that Siri was activated even when they did not say the designated “Trigger Words.” (Complaint, ¶ 4.) Apple was aware of the design flaw but intentionally continued to sell Siri-enabled devices—and continued to record user interactions with Siri—profiting over two hundred billion dollars between 2014 and 2019 alone. (Complaint, ¶¶ 5, 29-30, 32.)

⁵ The allegations in *McKinney* are identical to those in other actions, with the exception of *Frausto* as a first amended complaint has been filed that action and the numbering is slightly different—however, the substance remains identical.